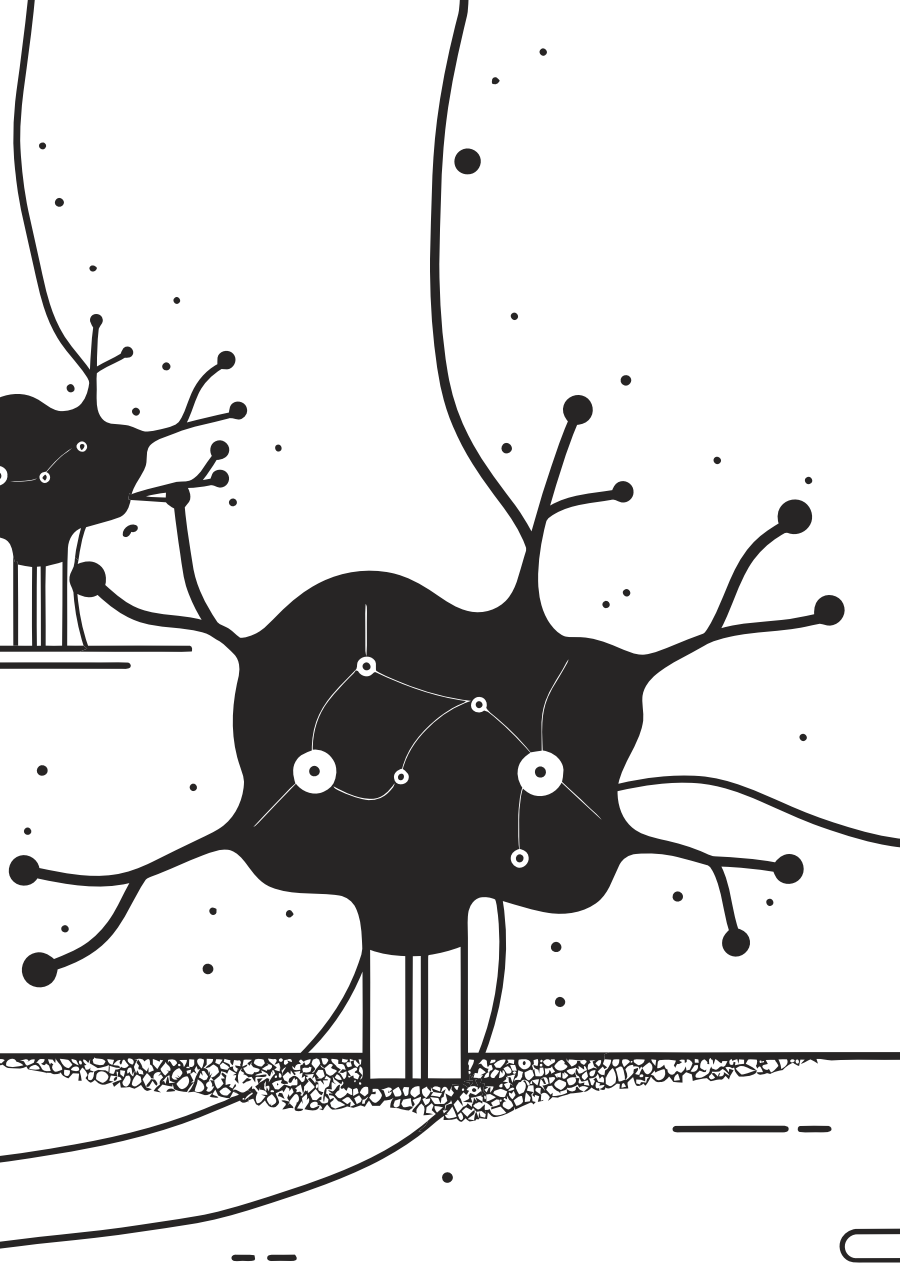


Smart Contracts for Business

How to read and understand a contract on the blockchain — no coding required.

Self-Executing

Runs automatically when conditions are met

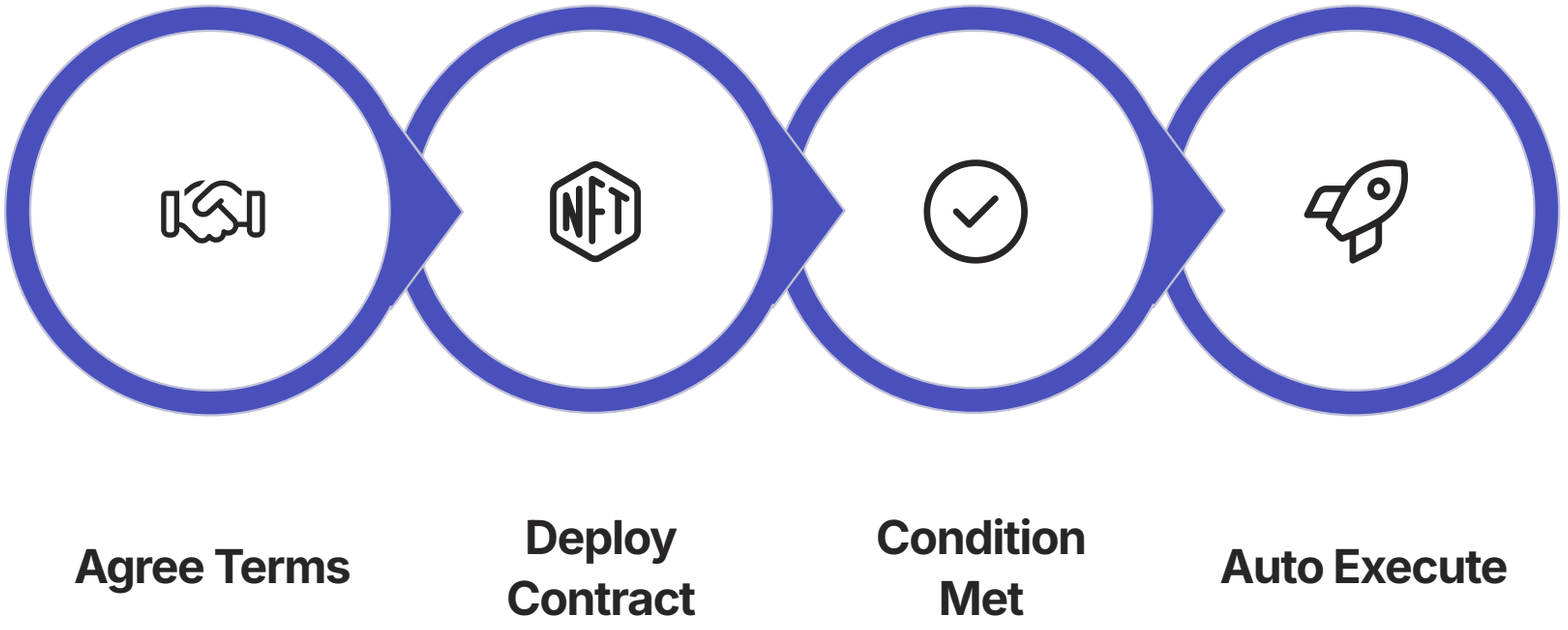
Holds Assets

Can receive, hold, and move value

Publicly Auditable

Anyone can read the deployed code

How a Smart Contract Works



No middleman needed. The contract acts on its own once the on-chain condition is satisfied.

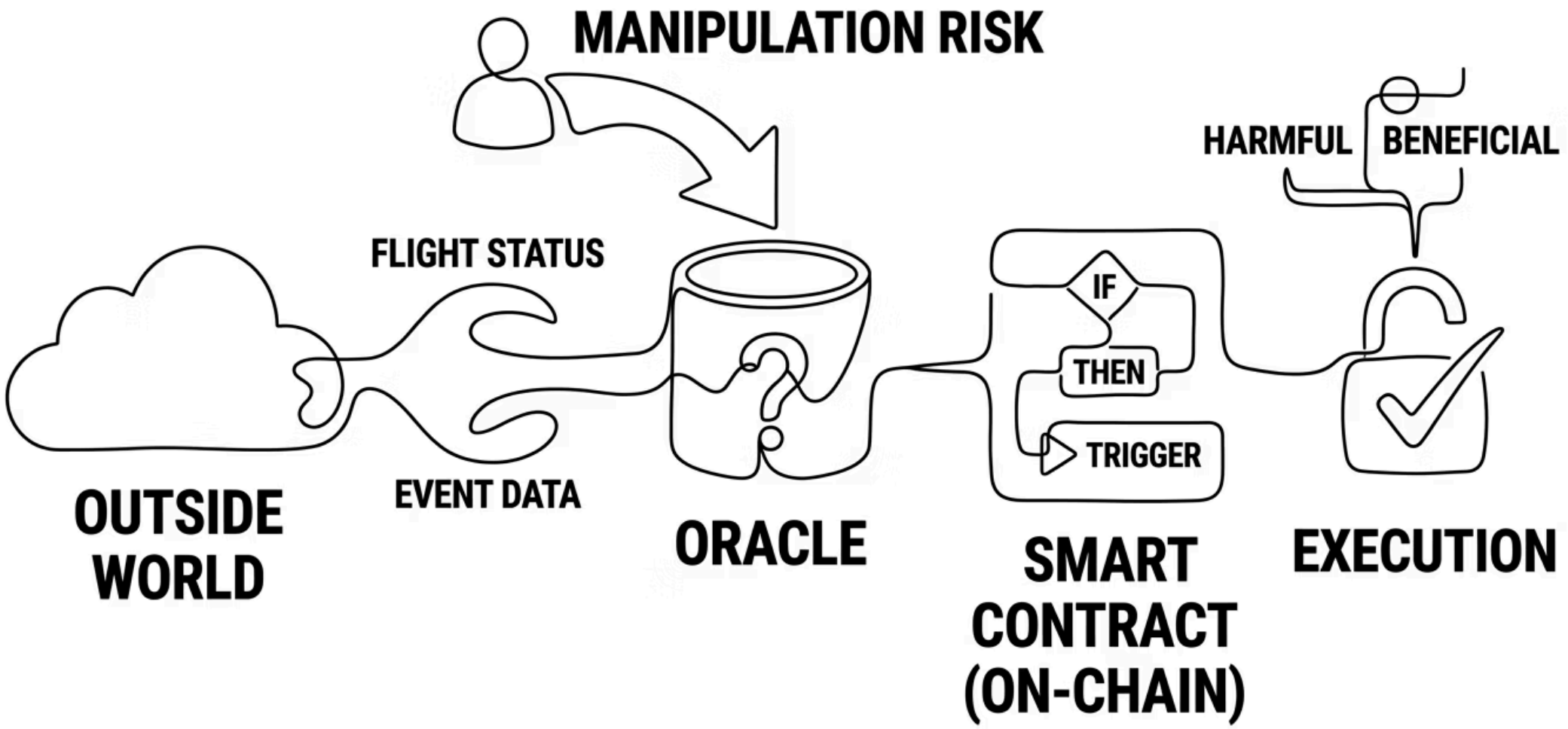
Reading on Etherscan

Every deployed contract is visible at function level: **swap**, **deposit**, **borrow**. Match each function name to a business step — no coding needed.

Key Limitation

A smart contract can only see **on-chain data**. It cannot reach the outside world by itself. For any external fact, it must rely on an oracle.

The Oracle Problem



Why it matters

The oracle is the weakest link. A single manipulated data feed can cause the contract to pay out incorrectly — or fail to pay at all.

Three Mitigations

- Use **multiple independent** oracles
- Use a **time-averaged** value, not a single snapshot
- Add a **circuit-breaker** sanity check

Worked Example: Flight-Delay Insurance

A real smart contract that illustrates every concept on one slide.

1

Agree

Passenger and insurer agree: if flight is delayed, payout is automatic.

2

Oracle Feeds Data

A flight-status data provider sends the delay result on-chain.

3

Risk

One wrong or manipulated feed could trigger a false payout.

4

Mitigation

Require **two independent** flight-data providers to agree before paying.

Key takeaway: the logic is trustworthy; the oracle is the risk. Always check your data source.

